

that was the focus of the speculation. Here the horizons seemed truly without limit. Who could lose on what was so obviously needed? Again, British loans became available in huge volume, these sustained by the financial amnesia that had now erased all effective memory of the defaulted loans of 40 years before. Soon the reality. The new railroads, and some old ones, could not pay. The respected banking house of Jay Cooke & Company, heavily involved with railroad financing, failed in September of 1873. Two large banks also went under. The New York Stock Exchange was closed for 10 days. Banks in New York and elsewhere suspended payment in hard coin.

